Eaton Corporation plc (NYSE: ETN)

Self-Funded Backlog Growth, Priced Like a Data Center Trade

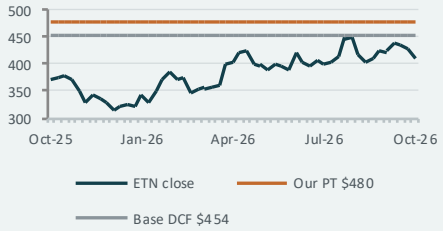
LONG **6M PT $480**

Price (14 Oct 26)	$408.85
Upside to target	+17.4%
Street price target	$481

Valuation Snapshot

Price (14 Oct 26)	$408.85
Our 6-Month Price Target	$480
Implied Upside	+17.4%
Base-Case DCF Value (6M)	$454 (+11.2%)
Street Price Target	$481
Diluted Shares	388.0M
Market Capitalisation	$158,634M
Net Debt and Other (30 Jun)	$19,728M
Enterprise Value	$178,362M
FY2026E Adj. EBITDA (model)	$7,790M
EV / FY2026E EBITDA	22.9x
EV / FY2028E EBITDA	18.2x
Forward P/E	28.3x
52-Week High / Low	$478 / $310
Analyst Ratings	22 of 24 Buy

Share Price, Last 12 Months ($)



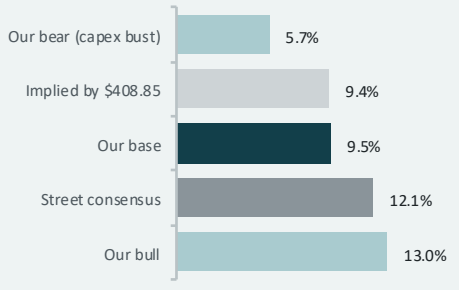
Market View

Consensus is long: 22 of 24 analysts rate ETN a Buy and the average target is $481, with a range of $392 to $534. The Street models a 25.3% FY28E EBITDA margin on $40.3B of revenue. Run through our DCF at the same 22x exit, Street numbers are worth $503 in six months (+23%), so analysts' targets sit below what their own estimates are worth.

To see what the price needs, we hold Street margins and our 22x exit and solve for revenue growth. The answer is 9.4% a year from FY25 to FY30, close to our 9.5% and well below the Street's 12.1% (Reverse DCF tab). Our base case only falls to the price if the exit multiple drops to about 19.7x.

Where we differ from the Street is speed. Our FY28E revenue is $38.7B against $40.3B because we let the Americas backlog convert more slowly as sites wait on power, and we use the same margin path. On that slower path we still get $454.

Revenue CAGR vs. the Price



FY25-30E. The price needs about our base-case growth at Street margins.

Company Overview

Eaton makes electrical and aerospace power equipment. Electrical Americas ($4.0B of Q2 2026 sales, 27.5% segment margin) sells switchgear, breakers, UPS systems and power distribution to data centers, utilities and buildings. Electrical Global ($2.5B, 19.8%) added Boyd Thermal's liquid cooling business in March. Aerospace ($1.2B, 22.8%) makes fuel, hydraulic and power systems, and Mobility ($0.8B, 13.0%) is being merged into Dana. Backlog was $24.1B at 30 June, 71% of it due within twelve months. 2026 guidance is 11-13% organic growth, 24.1-24.5% segment margins and $13.40-13.60 of adjusted EPS.

$24.1B
backlog at 30 June, 71% due within 12 months

$1.2B
deferred revenue, 5% of backlog (GEV: $40.0B)

22.9x
EV / FY26E EBITDA at $408.85

9.4%
FY25-30E revenue CAGR the price needs

Investment Thesis

We rate ETN a Long with a 6-month price target of $480, 17% above the 14 October close. Our base-case DCF gives $454 (+11%); the target is the rounded midpoint of that value and our model on Street estimates ($503). At 22.9x FY26E EBITDA the market treats Eaton as a data center trade that ends when hyperscaler budgets stop growing. We see a backlog business that pays for its own growth, sells into utilities and factories that grow without AI, and is paid per data center MW whatever powers the site. The price needs 9.4% annual revenue growth to FY30, about our base case (9.5%) and well short of the Street's 12.1%.

01 Backlog Is Growing Faster Than Sales

Electrical backlog was up 43% year on year in June. Electrical Americas rolling twelve-month orders rose 41% with a 1.3 book-to-bill, and total backlog went from $19.6B in December to $24.1B in June. In our model Americas backlog rises from $13.2B at FY25 to $24.7B at FY28E, because orders run at 1.2x sales while the share of backlog shipped each year falls from 48% to 44%, since data centers can only take equipment once they have power, not because Eaton is short of capacity. Eaton is spending more than $1B on two dozen capacity projects, and revenue per day is up about 25% since the start of 2025.

02 Eaton's Cash Flow Has No Deposit Float

GE Vernova's contract liabilities are $40.0B, and in H1 2026 they rose $13.7B, more than its $10.7B of operating cash flow. Eaton's deferred revenue was $1.16B at 30 June, under 5% of backlog. It rose $0.24B in H1, while operating cash flow was $1.63B after an $833M working capital build. Eaton carries the inventory behind its backlog and is mostly paid on delivery, so slower orders do not force it to hand cash back. In our capex bust case UFCF stays between $5.1B and $5.5B every year. We are comfortable capitalizing FY30E EBITDA at 22x because the cash behind it does not depend on order growth staying high.

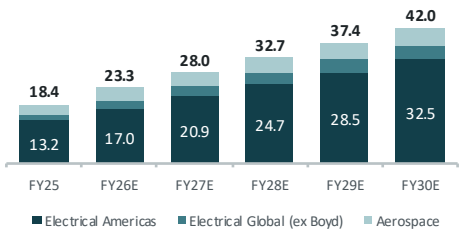
03 If AI Capex Breaks, the Rest of Eaton Still Grows

Data centers are about 21% of sales on Eaton's 2026 planning assumptions. In Q2, orders across commercial, institutional, utility, industrial and residential rose at a mid-to-high teens rate, machine OEM orders rose in the mid-30s, and Aerospace backlog grew 28% on a 1.2 book-to-bill. We ran a bust through the model: big-four capex down 30% in 2027 and 15% in 2028, Boyd revenue down 15%. Revenue still grows 5.7% a year to $36.2B in FY30E, with Aerospace going from $4.8B to $6.4B and the product lines from $7.5B to $9.1B. Value falls to $259: $137 a share from lower EBITDA and $58 from a de-rating to 18x.

04 The Deals Add Cooling and Defense and Shed Mobility

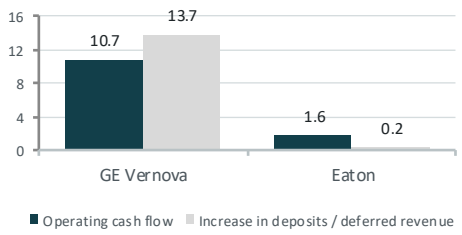
Since April 2025 Eaton has spent $12.6B on four businesses: Fibrebond (modular power enclosures, $1.43B), Resilient Power Systems (solid-state transformers, $86M), Ultra PCS (aerospace and defense, $1.53B) and Boyd Thermal (liquid cooling, $9.55B). Together they raise Eaton's content per data center MW: Fibrebond houses the power gear, Resilient readies it for DC power and Boyd adds cooling to the same sale. Boyd's 2026 outlook is up to $1.8B. Ultra PCS adds defense content with no AI exposure. Mobility, about 10% of sales at a 13% margin, goes to Dana in Q1 2027 and sends about $1.1B of cash back to Eaton.

Backlog Build, Base Case ($B)



Model roll-forward. Eaton reported $19.6B at Dec-25 and $24.1B at Jun-26; Boyd backlog is not modeled.

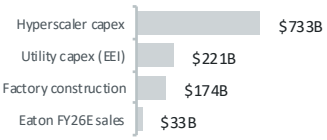
H1 2026: Cash Flow vs. Deposits ($B)



GEV's deposit build was 128% of its H1 operating cash flow. Eaton's was 14%.

Industry Overview

Three groups of buyers are adding electrical load at the same time. The big four hyperscalers plan about $733B of capex in 2026, US utilities about $221B, and factory construction still runs near $174B a year after a 19% drop. Eaton counts 307 GW of US data center projects in backlog, 15 years of building at 2025 rates, and expects only about 20% of it to convert near term. Eaton competes with Schneider, Siemens, ABB and GE Vernova, and pricing has held: the Electrical Americas negotiation pipeline is up 60% this year and Electrical Global moved its price increase forward to Q3. In our model a pause in hyperscaler spending hits Systems orders first; Products orders follow utility and construction spending.



Utilities and factories add about $395B of 2026 spend that hyperscaler budgets do not set.

Sources: Eaton Q2 2026 10-Q, earnings release and call; Eaton Q4 2025 release; GE Vernova Q2 2026 10-Q (via our 2 Oct 2026 GEV note); MarketBeat; StockAnalysis; Alpaca (prices); EEI; US Census; ETN model, corrected copy (Revenue, DCF, Consensus DCF, Reverse DCF tabs). Data center share of sales is from Eaton's 2026 planning assumptions as reported by secondary sources. US$ unless otherwise stated. Market data as of 14 Oct 2026.

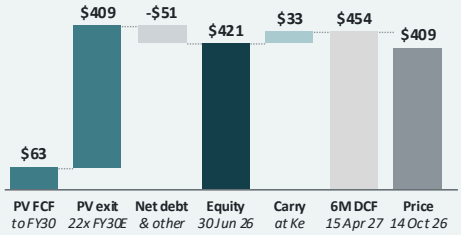
Eaton Corporation plc (NYSE: ETN)

Self-Funded Backlog Growth, Priced Like a Data Center Trade

LONG **6M PT $480**

Price (14 Oct 26)	$408.85
Upside to target	+17.4%
Street price target	$481

DCF Bridge ($ per Share)

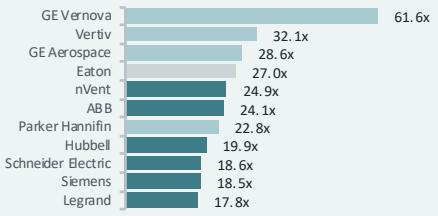


Scenarios

Bull: $575 (+41%). Big-four capex +45% in 2027, Americas conversion near 50%, Boyd +25-30% a year. Margin reaches 27% by FY30E on $50.5B of revenue, in step with the 32% Electrical Americas target. 22x.
Base: $454 (+11%). Big-four capex +36.5% in 2027, then +20%, +15% and +10%. Street margins to 25.3%, $43.3B of FY30E revenue, 22x.
Bear: $259 (-37%). AI capex bust: big-four capex -30% in 2027 and -15% in 2028, Boyd -15%, margin back to 22%, 18x like Schneider and Siemens. Revenue still grows 5.7% a year; UFCF holds at $5.1-5.5B.

Weighted 25/50/25: $436 (+7%)

Trading Comparables



Trailing EV/EBITDA: ETN 27.0x vs. a 23.5x peer median (22.9x FY26E on our numbers). Electrical peers (teal) at 17.8-24.9x imply $357-520 a share on our FY27E EBITDA.

Catalysts

Late Oct, hyperscaler and GEV Q3. Big-four 2027 capex guides, plus GEV power orders, which lead Eaton's. Our base needs about $1.0T (+36.5%); flat guides move us toward the bear case.
~3 Nov (est.), Q3 results. Guide: 13.5-15.5% organic growth and a 24.6-25.0% segment margin. A margin beat backs the base case; a miss points to $384.
Q1 2027, Mobility split-off. Needs a Dana vote. Eaton gets about $1.1B of cash and retires the shares tendered.
Early Feb 2027 (est.), 2027 guide. First full year with Boyd, which Eaton expects to add to EPS from year two.

Acquisitions (Last 2 Years)

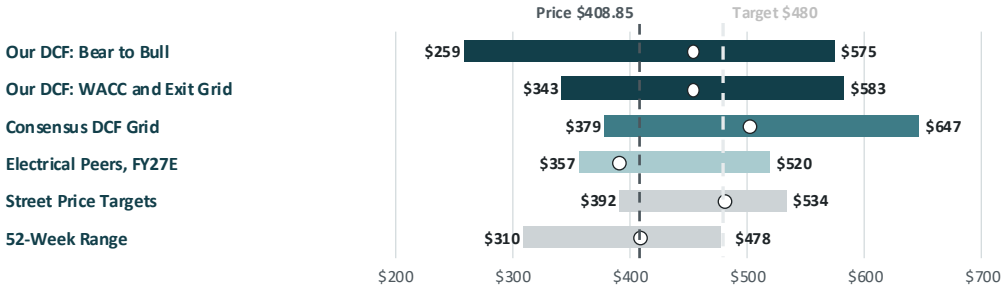
Boyd Thermal ($9.55B, Mar 26): Fair. 22.5x 2026E EBITDA, near Eaton's 22.9x. Liquid cooling was $1.5B of the $1.7B forecast at signing; the outlook is now $1.8B.
Ultra PCS ($1.53B, Jan 26): Accretive. About 6.5x sales, with a 28% segment margin since close ($31M on $111M).
Fibrebond ($1.43B, Apr 25): Accretive. About 13x 2025E EBITDA of $110M, roughly half Eaton's multiple.
Resilient Power ($86M, Aug 25): Option. Small, but its solid-state transformers fit DC power in AI halls.
Mobility to Dana (Q1 27 est.): Positive. Removes about 10% of sales at a 13% margin and brings in about $1.1B of cash.
Boyd is the only deal big enough to move our numbers. It sits in our Electrical Global build at $1.8B in 2026, growing 20% in 2027.

Valuation: How We Get to $480

We value ETN with an annual DCF from H2'26 to FY30 and an exit multiple at December 2030, then check it against Street numbers, peers and a reverse DCF. Each step ties to the corrected model.

1. Revenue: $38.7B in FY28E vs. $40.3B Street. Electrical Americas revenue is opening backlog plus new orders, times a conversion rate that falls from 48% in FY26E to 40% in FY30E. Systems orders follow a US electrical capex index weighted 50% to big-four hyperscaler capex, 25% to utility capex and 25% to factory construction, so the 36.5% rise in hyperscaler capex we assume for 2027 lifts Systems orders 12%. Electrical Global carries Boyd at $1.8B in 2026, then grows it 20%, 15%, 12% and 10%. Aerospace follows Boeing and Airbus deliveries, defense budgets and aftermarket pricing, and Mobility stays in until the Dana deal closes (Revenue tab).
2. Margin: 25.3% in FY28E. EBITDA margin runs 23.7%, 24.7% and 25.3% in FY26-28E. That is the Street's path, in line with the 24.1-24.5% segment margin guide for 2026 and 24.6-25.0% for Q3. FY28E EBITDA is $9.8B against the Street's $10.2B. The model's original cost ratios, averaged from history, gave 21.3-22.2% and a value of $384.
3. Free cash flow. UFCF is EBIT taxed at 17.1%, plus D&A, less capex ($1.0-1.4B a year) and the increase in working capital. We add nothing for deposits, since deferred revenue is under 5% of backlog. Only H2 of FY26E counts after the 30 June balance sheet. UFCF goes from $5.3B in FY26E to $7.3B in FY28E and $7.8B in FY30E.
4. Discount rate: 9.74% WACC. Cost of equity is 10.10%: a 5.25% risk-free rate plus a 4.45% equity risk premium on a 1.09 beta, relevered from the peer median. Pre-tax cost of debt is 3.51% and debt is 4.8% of capital (WACC tab). Re-weighting for the $20.6B of debt after Boyd would cut WACC to about 9.5% and add about $5 a share; we leave that out.
5. Exit value. 22x FY30E EBITDA of $11.0B gives $241.1B at December 2030. The multiple is below today's 22.9x FY26E and inside the 17.8-24.9x range for electrical peers, but it implies 6.3% perpetuity growth, which is generous; at 18x the base value is $374. Discounted 4.5 years it is worth $158.7B, 87% of EV.
6. Value per share: $454. PV of UFCF ($24.4B) plus the PV of the exit value gives EV of $183.2B. Less $19.7B of net debt and other items at 30 June, equity is $163.4B, or $421 a share on 388.0M shares. Carried at the cost of equity to the April 2027 target date, that is $454, 11% above the price.
7. Price target: $480. The target is the midpoint of $454 and the $503 our model gives on Street estimates ($478.50), rounded. Q3 results and the 2027 guide both land inside the six-month window, and each is a chance for Eaton to show the margin step-up the Street already models.

Football Field ($ per Share)



Sensitivity Analysis

6-Month Value per Share: WACC vs. Exit

WACC	18x	20x	22x	24x	26x
7.7%	$409	$452	$496	$540	$583
8.7%	$391	$433	$475	$517	$558
9.7%	$374	$414	**$454**	$495	$535
10.7%	$358	$397	$435	$474	$512
11.7%	$343	$380	$417	$454	$491

The base-case value beats the $408.85 price at 22x or more at every WACC, and at 20x up to our 9.74% (red cells sit below the price). Each 2x turn of multiple is worth about $40 a share and each point of WACC about $20. Selling at $480 in six months returns 17.4% (37.8% annualized); a stop at $355 caps the loss at 13.2%.

Long IRR: Sale Price vs. Holding Period

Sell at	3 mo	6 mo	9 mo	12 mo
$575 Bull	290.0%	97.5%	57.4%	40.5%
$503 Street DCF	129.6%	51.5%	31.9%	23.1%
$480 Target	90.0%	**37.8%**	23.9%	17.4%
$454 DCF	52.7%	23.6%	15.2%	11.2%
$409 Flat	0.0%	0.0%	0.0%	0.0%
$384 Old margins	(22.4%)	(11.9%)	(8.1%)	(6.1%)
$355 Stop	(43.2%)	(24.6%)	(17.2%)	(13.2%)

Risks & Mitigants

AI capex rolls over. Data centers are about 21% of sales, other electrical orders grew at a mid-to-high teens rate in Q2 and Aerospace backlog is up 28%. The bust case still gives $259 with UFCF above $5.1B a year and no deposits to unwind.
Power arrives late. If turbines or grid connections slip, data centers delay deliveries. Eaton funds that inventory without customer deposits; H1 already had an $833M working capital build. Our base lets Americas conversion fall to 40% by FY30E.
The margin step-up slips. H2 needs Electrical Americas margins 450-500bp above H1, about 300bp of it from price-cost. On our old margin path the value is $384 (-6%). Q2 was up 190bp on Q1 and the negotiation pipeline is up 60% this year.
Boyd was expensive. $9.55B is 22.5x 2026E EBITDA and took net debt to $19.9B, 2.6x our FY26E EBITDA. Boyd's outlook has risen from $1.7B to $1.8B since signing and Q2 revenue beat Eaton's plan by 20%.
The multiple compresses. Our 22x exit is inside the 17.8-24.9x electrical peer range. At 18x the value is $374, and the price holds up to about a 19.7x exit.
The Mobility deal stalls. If the Dana vote fails, Eaton would spin Mobility off instead. At about 10% of sales and a 13% margin, either route barely moves our value.

Sources: ETN model, corrected copy (Revenue, DCF, Consensus DCF, Reverse DCF, WACC tabs; valuation date 30 Jun 2026); StockAnalysis trailing multiples, 14 Oct 2026; MarketBeat; Eaton SEC filings and Q2 2026 call; Reuters and Bloomberg via secondary sources for deal multiples. Q3 2026 and Q4 2026 dates are estimates. IRR excludes dividends.